

De Bondt and Thaler's findings stand the conventional wisdom on its head and show compelling evidence for mean reversion in stocks in a variety of forms. Big gains and drops don't persist. Rather, extreme drops in stock prices tend to be followed by big gains and big drops follow extreme gains. Big drops in stock prices also tend to be followed by significant *earnings* increases and significant stock price increases are followed by slower rates of increase or declines in *earnings*. If we rank stocks on the basis of market price in relation to book value, the undervalued, low price-to-book value stocks grow earnings faster than the overvalued, high price-to-book value stocks, and, consequently, enjoy faster stock price appreciation. It seems that, if we want rapid earnings growth and accompanying stock price appreciation, the place to look for it is counterintuitive. Overpriced, high earnings growth, rapidly appreciating stocks will disappoint. Rather, it will be found in undervalued stocks enduring significant earnings compression and plunging market prices. This is not a phenomenon limited to individual businesses and securities. As we'll see next, De Bondt and Thaler's unexpected findings extend to the performance of stock markets and economies.

UNDERVALUED MARKETS

Warren Buffett wrote an extraordinary article that appeared in *Fortune* in late 1999 called "Mr. Buffett on the Stock Market."¹⁰ It was extraordinary because Buffett rarely comments on the level of the market, preferring instead to focus on the individual companies that make up the market. In a typical statement on his view of the market, made in 1987, Buffett commented, "When investing, we view ourselves as business analysts—not as market analysts, not as macroeconomic analysts, and not even as security analysts."¹¹ In the 1999 article, published about five months before the peak of the dot-com bubble, Buffett was at pains to explain that he only looked to the market to a "very limited extent:"¹²

At Berkshire we focus almost exclusively on the valuations of individual companies, looking only to a very limited extent at the valuation of the overall market. Even then, valuing the market has nothing to do with where it's going to go next week or next month or next year, a line of thought we never get into. The fact is that markets behave in ways, sometimes for a very long stretch, that are not linked to value. Sooner or later, though, value counts.

In making his case, Buffett compared two adjacent 17-year periods: 1964 to 1981 and 1981 to 1998. In the 1964 to 1981 period, Buffett wrote,